



Stereo H.C.J.D.A.38
JUDGMENT SHEET
IN THE LAHORE HIGH COURT, MULTAN BENCH,
MULTAN.
JUDICIAL DEPARTMENT

RFA No. 393 of 2014

M/s. Arbab Cotton Industries & another

appellants

versus

NIB Bank Limited

Respondent

JUDGMENT

Date of hearing

19.11.2019

Appellants by	Mr. Muhammad Masood Sabir, Advocate.
Respondent/bank by	Mr. Mughees Aslam Malik, Advocate.

MUZAMIL AKHTAR SHABIR, J.- Through this Regular First Appeal, filed under Section 22 of the Financial Institutions (Recovery of Finances) Ordinance, 2001 (“Ordinance”), the appellants have called in question the judgment and decree dated 09.06.2014 passed by learned Single Judge in Chambers, whereby application for grant of leave to defend filed by the appellants was dismissed and the suit for recovery of Rs.70,172,303.17 filed by the respondent bank was decreed jointly and severally against appellants to the extent of Rs.68,529,066.28 with costs of the suit and cost of funds as contemplated by Section 3 of the Ordinance.

2. Learned counsel for the appellants has argued that the grounds raised by the appellants have not been properly addressed by the learned Single Judge in Chambers who did not consider the documents produced by them; therefore, the impugned judgment and decree is not sustainable in the eye of law having failed to determine the real controversy in issue.

3. On the other hand, learned counsel appearing on behalf of the respondent/bank has supported the impugned judgment and decree by stating that the same has validly been passed against the appellants.

4. **Heard.** Record perused.

5. It is observed that the respondent bank filed a suit for recovery against the appellants by stating therein that the appellants have been availing working capital facilities from the respondent bank since 2005 and lastly the respondent bank granted to the appellants a running finance facility in the sum of Rs.40,000,000/- and letter of guarantee facility in the sum of Rs.30,000,000/- vide facility letter dated 27.12.2007 which was to expire on 31.12.2008. The appellants requested for grant of running finance facility vide their letter dated 17.12.2007 which was granted by the respondent bank vide its letter dated 27.12.2007 by merging the outstanding amount of CC (pledge) facility of Rs.31,000,000/- and existing running finance facility of Rs.8,000,000/-. In respect of running finance facility, the appellants executed finance agreement, D.P. Notes and personal guarantee on 20.11.2007. The appellants also executed their counter guarantees in respect of the said letter of guarantee facility by way of security. Nonpayment of the outstanding liability resulted into filing of the recovery suit by the respondent bank.

6. Availing of finance facilities, execution of documents thereunder and renewal of finance facility through letter dated 27.12.2007 is admitted by the appellants. The documents available on record have also been executed by the appellants for which there is no denial in the PLA filed by them. The appellants have failed to raise any substantial question of law and fact requiring grant of leave to defend enabling them to lead evidence in the matter. Besides, the appellants have not been able to show that the entries in the statements of account are incorrect and any payment made by the appellants is not reflected in the said statements. Even otherwise, there is no fresh ground mentioned by the appellants which was not available to them

while filing their PLA. Consequently, the PLA has rightly been dismissed by the learned Single Judge in Chambers.

7. The statements of account shows that an amount of Rs.40,853,288/- as principal and Rs.3,675,788.28 as markup was outstanding against running finance facility and amount of Rs.24,030,301/- as principal and Rs.1,612,935.89 as markup was outstanding against letter of guarantee facility against the appellants, out of the said amount the learned Single Judge deleted an amount of Rs.612,935/- from markup on letter of guarantee and also excluded Rs.30,301/- on account of delayed charges debited in the statements of account relating to letter of guarantee facility and decreed the suit for an amount of Rs.68,529,066.28 together with costs of the suit and cost of funds as envisaged under Section 3 of the Ordinance which findings are in accordance with the record of the case and are based on proper appreciation of law, hence, do not warrant any interference being well founded.

8. For what has been discussed above, this appeal being devoid of any force is *dismissed*.

(Abid Aziz Sheikh)
Judge

(Muzamil Akhtar Shabir)
Judge

Naveed *